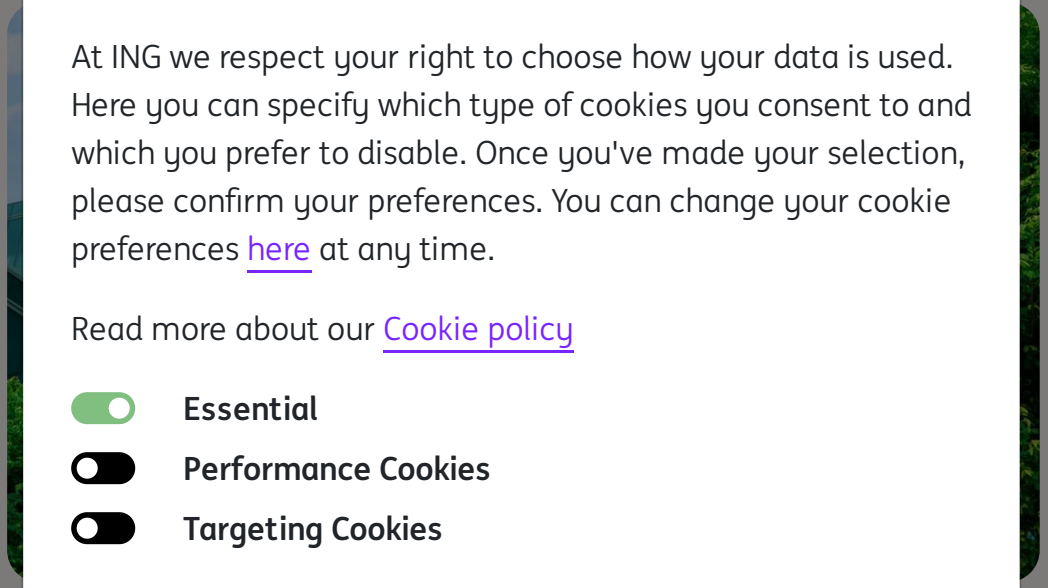
Sustainable bank bond supply is close to reaching a record in 2026, despite Europe's ESG simplification agenda. We expect another increase to €100bn in 2027, supported by sustainable lending growth, higher redemptions and resilient investor demand



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Banks issued an unexpectedly large amount of sustainable debt this year despite Europe's ESG deregulation efforts. Up to mid-October 2026, they issued more than €86bn in sustainable bonds across different instrument types, up by almost €20bn from the same period last year.

This was a surprisingly strong increase given that favourable primary market conditions offered issuers little greenium, despite continued evidence that sustainable bonds attract higher investor demand, as reflected in stronger oversubscription rates. This suggests that the availability of sustainable assets was not a

meaningful constraint on banks' sustainable debt issuance, thanks to higher redemptions and sustainable lending growth.

Issuers are also increasingly directing ESG bond issuance towards European capital markets, often at the expense of North American markets, reflecting the growing divergence in political and regulatory priorities between the two regions.

The bulk of the YTD supply (€76.6bn) (re)financed green assets, with green supply up €25bn from 2025. Instead, issuance in social and sustainability formats did not exceed €9.6bn, trailing last year's supply by €4.5bn. All instrument types, from secured to unsecured t
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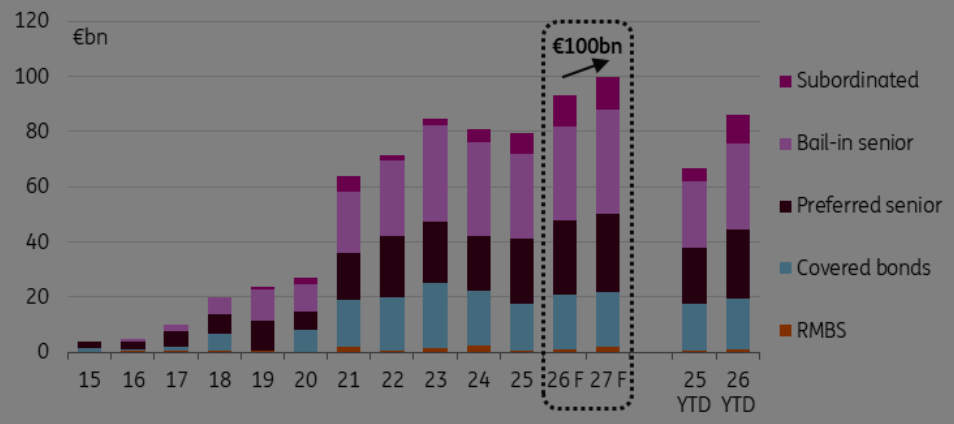
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That said, with the revisions to the EU taxonomy's technical screening criteria around the corner (expected in 4Q 2026), we expect more banks to inaugurate European Green Bond Programmes, as more types of green assets will become available due to the EU's simplification agenda.

Sustainable bank bond supply will reach €100bn in 2027

€bn



Includes only euro-denominated bank bonds with a minimum size of €250m

Source: IGM, ING

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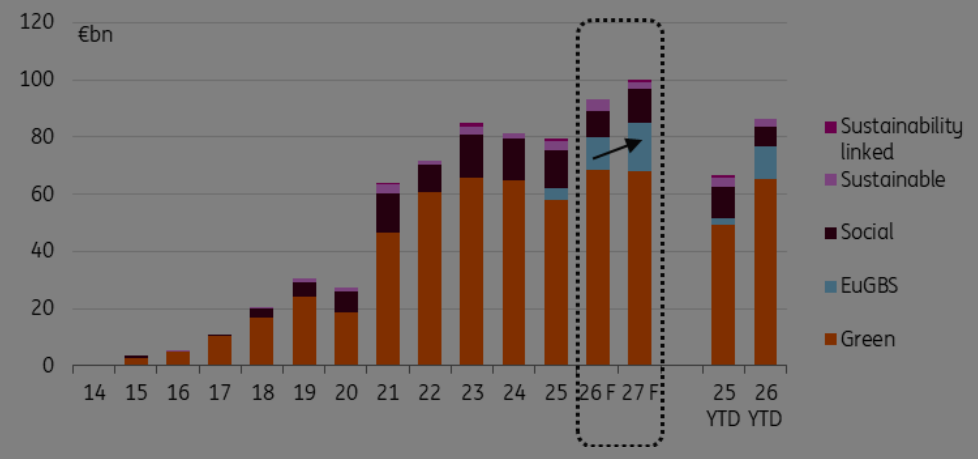
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Green supply will reach €85bn of which 20% will be issued as EuGBs

€bn



Includes only euro-denominated bank bonds with a minimum size of €250m

Source: IGM, ING

periods and changes in use-of-proceeds criteria may prevent a full refinancing with new sustainable debt. In 2026, banks replaced 70% of their sustainable redemptions partially or fully with new sustainable supply. A comparable trend for 2027 would already cover close to half of our supply estimate for next year.

Sustainable bank bond redemptions rise to €67bn in 2027

€bn

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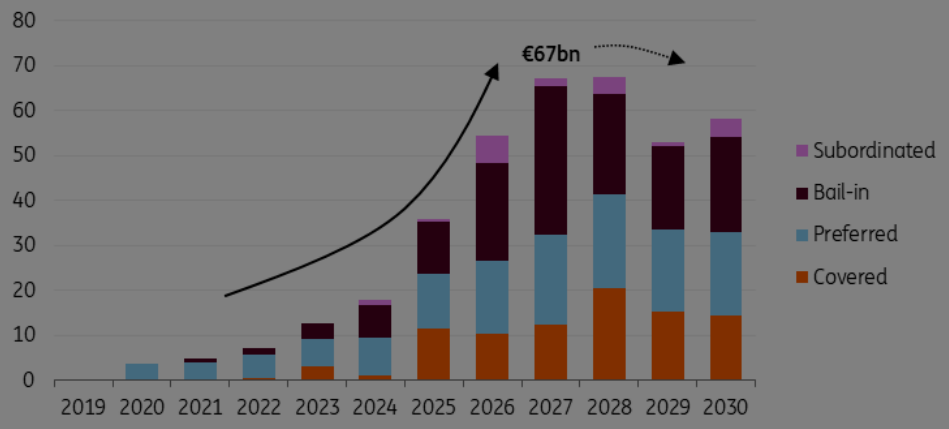
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Includes only euro-denominated bank bonds with a minimum size of €250m

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This year's narrowing of the scope of the EU Corporate Sustainability Reporting Directive (CSRD) to companies with more than 1,000 employees and a turnover above €450m makes it more difficult for European banks to identify assets on their balance sheets that are suitable for sustainable bond issuance. The simplification of the European sustainability reporting standards (ESRS) and the value chain cap add to this challenge.

However, the voluntary reporting standards applicable from 1 January 2027 could still provide banks with some essential data on smaller companies in their value chain. This may include

information on energy consumption, greenhouse gas emissions, waste generation, and recycling efforts, which could support the identification and origination of eligible sustainable assets.

The narrower CSRD scope will also have implications for EU Taxonomy disclosures, which are likely to be more important than the broader ESRS disclosures for the identification of eligible green assets. The restricted scope reduces the availability of Taxonomy alignment data, as smaller companies and banks are excluded from these disclosures. The 10% materiality threshold may also allow smaller exposures to be excluded from Taxonomy alignment assessment, further limiting the value of Taxonomy disclosures for a

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would already subject all new buildings to the Zero Emission Building (ZEB) criterion and life-cycle global warming potential (GWP) calculations ahead of the EPBD's 1 January 2030 deadline.

Additional recommendations from the Platform on Sustainable Finance could also make some criteria more restrictive. The Platform has recommended introducing a stricter top-15% benchmark for buildings constructed before 2021, based on 2023-26 building stock data, with the threshold tightening every five years to align with the trajectory towards net-zero by 2050. If incorporated into the final technical screening criteria, this

recommendation could initially render more green buildings built before 2021 ineligible under the top-15 criterion. Over time, however, this periodic tightening would be consistent with the EPBD objective of achieving a net-zero building stock by 2050.

Taxonomy-aligned bonds will continue to find demand

The upcoming revisions to the Sustainable Finance Disclosures Regulation (SFDR) should also remain supportive of demand for sustainable bonds, even though these revisions will probably not apply before 2029 (i.e. two years after implementation).

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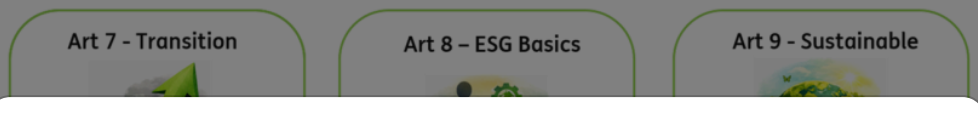
social objective.

For each category, a proposed minimum of 70% of the investments should be made according to the respective sustainability claim. For the transition and sustainable categories, the 70% condition would also be met if the proportion of investments in Taxonomy-aligned activities is at least 15%. This would support demand among investors subject to the SFDR for bonds that finance Taxonomy-aligned activities.

The applicable Paris-aligned benchmark (PAB) exclusions do not apply to use-of-proceeds instruments such as European green

bonds (EuGBs), or instruments where the proceeds do not fund the activities that should be excluded according to the applicable PAB exclusions, as long as the issuer of the instruments does not breach the UNGC principles or the OECD Guidelines for Multinational Enterprises. This offers flexibility when investments are made in EuGBs or other eligible use-of-proceeds bonds.

New product categories under SFDR 2.0



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sustainable supply

Europe's simplification drive is not derailing sustainable bank bond supply. Growing sustainable loan portfolios, higher redemptions and resilient investor demand should support further growth in 2027, even as overall bank bond supply remains broadly stable.

Sustainable bonds | Sustainability linked | Sustainability bonds

Sustainability | Supply Outlook 2027 | Social bonds | Social | SFDR | Green bonds | Green | EU Taxonomy | EU Green Bond Standard | ESG supply | CSRD | Covered bonds | Bank Outlook 2027

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